

We need to understand what part of the capital is convertible. We need to understand capital structure on a fully diluted basis i.e. assuming all the convertible securities have been converted. With this, we have understood the capital structure of the company.

Composition of Equity

To understand equity better, we need to look at the composition of the equity side in the balance sheet. The equity side will have share capital and reserves and surplus. The composition of reserves and surplus will help us understand the various reserves the company has created.



In the next unit, we look at ROE Analysis, essentially the company's return on equity.

We will look at all the numbers for the same, which will help us understand how well the equity is being utilized.